26900132 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)

REGULAR EXAMINATION OCTOBER 2026

FIFTH SEMESTER

Discipline Specific Core Course (DSC) - MG5DSCCOM302 - FINANCIAL MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Questions

Answer any **12** questions

Each question carries **1** marks

1. How is cost of capital used in capital budgeting? [U] / [CO1]
2. What is a debenture? [U] / [CO1]
3. What is meant by Risk free return? [U] / [CO1]
4. ..... finance is a branch that studies the emotions and behaviour of investors. [U] / [CO1]
5. A company has an EPS of ₹50 and a Retention Ratio of 60%. Calculate the Dividend Payout Ratio and Dividend Per Share. [A] / [CO2]
6. What is regular working capital? [U] / [CO2]
7. …..... is the risk related to variability in a firm's operating income due to business/operating factors. [U] / [CO2]
8. What are mutually exclusive investment decisions? [U] / [CO2]

9. Mention any two points indicating the importance of Financial Leverage. [U] / [CO3]

10. What are the two components of Combined Leverage? [U] / [CO3]

11. What is the significance of a low DOL? [U] / [CO3]

12. A machine has a book value of ₹1,20,000 and is sold for ₹90,000. If the tax rate is 30%, calculate the after-tax salvage value. [An] / [CO4]

13. State any two limitations of pay back method. [U] / [CO4]

14. State any two points highlighting the importance of capital budgeting. [U] / [CO4]

[1x12 = 12]

Part B

Short Answer/Problems

Answer any **4** questions

Each question carries **7** marks

15. A firm sets aside Rs. 50,000 at the end of every year for 4 years. If the fund earns 12% interest p.a, calculate the compounded value of annuity at the end of the 4th year. [A] / [CO1]

16. Explain the meaning and importance of financial management. [U] / [CO1]

17. What are the various forms of dividend? [U] / [CO2]

18. Bright Ltd. is planning to expand its production capacity. For expansion, it requires an additional ₹10,00,000. The management is considering financing the expansion through either equity shares or debt. At the present level of operations, the company has an EBIT of ₹8,00,000. The company is considering issuing 10% debentures of ₹10,00,000. After expansion, EBIT is expected to increase by 25%. Calculate the Financial Leverage after expansion. [An] / [CO3]

19. What is Profitability Index method? How is this method superior to NPV method? [U] / [CO4]

20. A company is considering two projects. Project A requires ₹4,00,000 and has an average annual profit of ₹80,000. Project B requires ₹5,00,000 and has an average annual profit of ₹1,25,000. Calculate ARR and select the better project. [An] / [CO4]

[7x4 = 28]

Part C

Essay Questions

Answer any **2** questions

Each question carries **15** marks

21. A company has the following capital structure: Equity Share Capital of ₹10,00,000 at a cost of 14%, Preference Share Capital of ₹3,00,000 at a cost of 10%, Debt of ₹5,00,000 at an after-tax cost of 8%, and Retained Earnings of ₹2,00,000 at a cost of 12%. Calculate the Weighted Average Cost of Capital. [A] / [CO1]

22. What is Optimum capital structure? Explain the features of Optimum capital structure. [U] / [CO2]

23. Find out NPV of the following project based on the information given below:- [An] / [CO4]

Year	Cash Outflow (in Rs.)	Cash Inflow (in Rs.)
0	3,00,000	-
1	60,000	40,000
2	-	60,000
3	-	1,20,000
4	-	1,60,000
5	-	60,000

Expected salvage value is Rs. 80,000. The cost of capital of the firm is 10%.

The present value factors (PVF) at 10% are given below

Year	1	2	3	4	5
PVF @10%	0.909	0.826	0.751	0.683	0.621

[15x2 = 30]